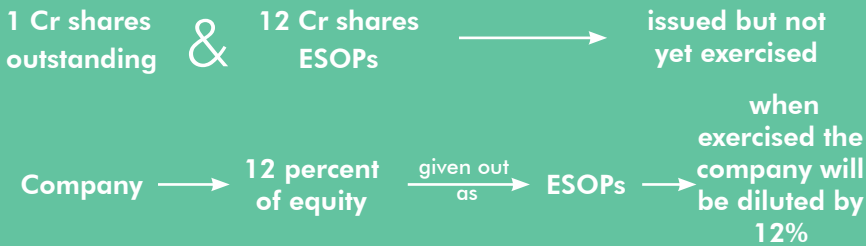


10.1

ESOPs



We need to understand what percentage of equity is outstanding in ESOPs. Suppose the company has 1 Cr shares outstanding and 12 lakh shares as ESOPs that have been issued but not yet exercised. The company has about 12% of equity given out as ESOPs, which, when exercised will dilute the company by 12%.



Many companies do not give out ESOPs and directly give out shares to its employees. Some companies neither give out ESOPs nor shares. It is thus a choice of the company on how they want to incentivize the management and employees. We need to understand ESOP policy for the company we are evaluating.

As seen, ESOPs are given out by this company. Thus, we must look at the ESOPs policy, how many ESOPs were given, the exercise date and vesting period, etc

Annexure 4 to the Directors' Report

Disclosure regarding Employee Stock Option of the Company for the year ended 31st March 2021

A. Relevant disclosures in terms of the Guidance note on accounting for employee share-based payments' issued by ICAI or any other relevant accounting standards as prescribed from time to time. Members may refer to the audited financial statement prepared as per Indian Accounting Standard (Ind-AS) for the year 2020-21.

B. Diluted EPS on issue of shares pursuant to all the schemes covered under the regulations shall be disclosed in accordance with Accounting Standard 20 - Earnings Per Share' issued by ICAI or any other relevant accounting standards as prescribed from time to time. Diluted EPS for the year ended 31st March 2021 is 21.27 calculated in accordance with Ind-AS 33 (Earnings per Share).

C. Details related to Employee Stock option of the Company for the year ended 31st March 2021:

(i)

Sr. No.	Particulars	Employee Stock Option Scheme-2012	Employee Stock Option Plan-2016
(a)	Date of grant to shareholders' representatives	24.07.2012	02.04.2016
(b)	Total number of options approved under ESOS	3,00,000	45,00,000

(c)	Vesting requirements	(a) On completion of 12 months from the date of Grant	50% of the options	Options granted under the Plan shall vest not earlier than One year but not later than a maximum of Six years from the date of grant of such Options.
		(b) On completion of 24 months from the date of Grant	Balance 50% of the options	

In the case of employees who have not completed 3 years of employment as on date of the grant then all options which are due for Vesting shall vest as per (a) and (b) above OR on the completion of 3 years of employment in the Company by the employee concerned whichever is later.

The Compensation Committee in its absolute discretion shall have the right to pre-pon the date of vesting. However the gap between the date of Grant and date of Vesting shall not be less than minimum period prescribed by the

In the case of Eligible Employee who has not completed 3 years of employment as on date of the grant of Options then the Options which are due for Vesting before completion of 3 years as above, shall vest as on the completion of 3 years of employment in the Company by the Employee concerned or as may be approved by the Compensation Committee.